

7.2%

average annual gain made
by a stock portfolio held
for over 20 years

BUILDING WEALTH THROUGH INVESTMENT

- › **An early start** Investors who start young generally have more flexibility to take risk—and more time to recover from any errors.
- › **A measured approach** Individuals must ascertain their financial situation and investment goals before they begin to construct a portfolio.
- › **A simple plan** The less complex the plan, the easier it is to monitor and manage, and the more likely to succeed in its objectives.
- › **A balanced portfolio** Regular buying and selling of portions of the portfolio “rebalances” it, helping to keep risk levels and goals in line with the investor’s original design. This may incur fees.



SHARES

Those that pay regular dividends (income) and are likely to appreciate in the long term offer the best wealth-building potential. See pp.182–183



PROPERTY

Property can appreciate in value and, in the case of rental property, produce a regular source of income too. See pp.176–181



ANTIQUES

Investors must be confident they can recognize a genuine article, and be willing to spend time scouring markets.



ART

Works by up-and-coming artists who are still early in their careers are good starting points for investment in art.



GEMS

These generally appreciate at the rate of inflation. Best bought as loose stones from a wholesaler, they are not easy to sell quickly.



GOLD

This precious metal generally holds its value over time, but is best viewed as a long-term investment. Unlike gems, it is easy to sell quickly.

Investments that appreciate

These investments do not produce income, but their value can increase significantly over time.